1. Definition of Industry

An industry is a group of organizations engaged in producing or handling the same type of product or service. It belongs to the secondary sector, which transforms raw materials into more valuable products. Industrial systems consist of **inputs** (raw materials, labor, power, land), **processes**, and **outputs**.

Industries involve:

- Production of goods (e.g., steel, energy)
- Extraction of minerals (e.g., coal mining)
- Provision of services (e.g., tourism)
- Emerging “sunrise” industries

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2. Large-Scale Industries

Large-scale industries require **huge infrastructure, advanced technology, a large workforce, and big capital**. They produce goods in big quantities.

Examples: Iron and steel, textiles, automobiles, heavy machinery, aircraft, ships, heavy chemicals.

Importance of Large Industries

1. **Higher productivity** through division of labor and specialization.
2. **Import substitution**, producing goods locally instead of relying on foreign imports.
3. **Export promotion** by enabling the export of industrial and engineering goods.
4. **Development of basic industries** like steel, cement, and copper, which support other sectors.
5. **Job creation** across unskilled, semi-skilled, and skilled labor.

Problems Facing Medium and Large Industries

- **Shortage of raw materials**
- **Insufficient energy supply** (electricity, fuel)
- **Lack of technical knowledge and skilled workers**
- **Limited capital** for investment
- **Small domestic market** due to low purchasing power

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3. Small-Scale Industries (SSIs)

These industries produce a wide range of items—from traditional crafts to advanced products such as microprocessors and medical devices. They significantly support exports, employment, and domestic supply.

They are considered a **key engine of growth** in both developed and developing economies.

Many countries increasingly use the broader term **SMEs (Small and Medium Enterprises)** instead of SSIs.

4. Defining MSMEs (Micro, Small, and Medium Enterprises)

There is **no universal definition**, and each country uses its own based on policy needs.

Example (European Commission):

- Micro: <10 workers, turnover ≤ €2 million
- Small: up to 50 workers, turnover ≤ €10 million
- Medium: up to 250 workers, turnover ≤ €50 million

MSMEs are important because:

- They innovate quickly and adapt easily.
- They enhance competition, pushing other firms to improve.
- They generate most jobs in many countries (60–70% in OECD).
- They help reduce poverty and serve as seeds for future large firms.

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5. MSME Sector in Egypt

Size and Distribution

According to the Central Bank of Egypt:

- Micro firms: fewer than 10 employees
- Small and medium: 10–200 employees
- Large: more than 200

In 2017:

- Micro enterprises = **91%** of all firms
- Small and medium = **8%**
- Large = **<1%**

Employment Contribution

Egypt's MSMEs:

- Contribute nearly **80% of GDP**
- Provide about **75% of private sector employment**
- In some non-agricultural sectors, they provide up to **99%** of jobs

6. Main Constraints to Job Creation in Egypt's MSME Sector

1. Business Environment Issues

- Structural economic imbalances
- Foreign exchange shortages
- High inflation and unemployment
- Complicated procedures for registration, licensing, taxation, and customs

2. Firm Management Constraints

- Government borrowing at high domestic interest rates
- This crowds out private sector borrowing, reducing bank loans available to MSMEs

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